

Chapter II

Definitions

5. Definition

5.1 For the purpose of these directions, unless the context otherwise requires:

5.1.1 “Break up value” means the equity capital and reserves as reduced by intangible assets and revaluation reserves, divided by the number of equity shares of the investee company.

5.1.2 “Carrying cost” means book value of the assets and interest accrued thereon but not received.

5.1.3 “Company” means a company registered under section 3 of the Companies Act, 1956 or the corresponding provision under the Companies Act, 2013.

5.1.4 “Companies in the group” means an arrangement involving two or more entities related to each other through any of the following relationships: Subsidiary – parent (defined in terms of AS 21), Joint venture (defined in terms of AS 27), Associate (defined in terms of AS 23), Promoter–promotee [as provided in the SEBI (Acquisition of Shares and Takeover) Regulations, 1997] for listed companies, a related party (defined in terms of AS 18), common brand name, and investment in equity shares of 20 percent and above.

5.1.5 “Control” shall have the same meaning as assigned to it under clause (e) of sub-regulation (1) of regulation 2 of Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.

5.1.6 “Current investment” means an investment which is by its nature readily realisable and is intended to be held for not more than one year from the date on which such investment is made.

5.1.7 “Customer interface” means interaction between the NBFC and its customers while carrying on its business.

5.1.8 “Dividend Payout Ratio” means the ratio between the amount of the dividend payable in a year and the net profit as per the audited financial statements for the financial year for which the dividend is proposed. Proposed dividend shall include both dividend on equity shares and compulsory convertible preference shares eligible for inclusion in Tier 1 capital. In case the net profit for the relevant period includes any exceptional and/or

extra-ordinary profits/income or the financial statements are qualified (including 'emphasis of matter') by the statutory auditor that indicates an overstatement of net profit, the same shall be reduced from net profits while determining the Dividend Payout Ratio.

5.1.9 "Earning value" means the value of an equity share computed by taking the average of profits after tax as reduced by the preference dividend and adjusted for extra-ordinary and non-recurring items, for the immediately preceding three years and further divided by the number of equity shares of the investee company and capitalised at the following rate:

- (i) in case of predominantly manufacturing company, eight percent;
- (ii) in case of predominantly trading company, ten percent; and
- (iii) in case of any other company, including NBFC, twelve percent.

Note: If, an investee company is a loss-making company, the earning value will be taken at zero.

5.1.10 "Fair value" means the mean of the earning value and the breakup value.

5.1.11 "Group of connected counterparties" means two or more (natural or legal) persons who satisfy at least one of the following conditions:

- (i) Control relationship: one person directly or indirectly, has control over the other(s), or such persons are under the common control of a third party (irrespective of whether the NBFC has exposure to the third party or not). Control relationship criteria is automatically satisfied if one entity owns more than 50 percent of the voting rights of the other entity;
- (ii) Economic interdependence: In establishing connectedness based on economic interdependence, NBFCs must consider, at a minimum, the following criteria:
 - (a) Where 50% or more of one counterparty's gross receipts or gross expenditure (on an annual basis) is derived from transactions with the other counterparty;
 - (b) Where one counterparty has fully or partly guaranteed the exposure of the other counterparty, or is liable by other means, and the exposure is so significant that the guarantor is likely to default if a claim occurs;
 - (c) Where a significant part of one counterparty's production/output is sold to another counterparty, which cannot easily be replaced by other customers;

(d) When the expected source of funds to repay the loans of both counterparties is the same and neither counterparty has another independent source of income from which the loan may be serviced and fully repaid;

(e) Where it is likely that the financial problems of one counterparty would cause difficulties for the other counterparties in terms of full and timely repayment of liabilities;

(f) Where the insolvency or default of one counterparty is likely to be associated with the insolvency or default of the other(s);

(g) When two or more counterparties rely on the same source for the majority of their funding and, in the event of the common provider's default, an alternative provider cannot be found - in this case, the funding problems of one counterparty are likely to spread to another due to a one-way or two-way dependence on the same main funding source.

(h) In order to avoid cases where a thorough investigation of economic interdependencies will not be proportionate to the size of the exposures, NBFCs are expected to identify possible connected counterparties on the basis of economic interdependence in all cases where the sum of all exposures to one individual counterparty exceeds 5% of the eligible capital base, and not in other cases.

5.1.12 "Hybrid debt" means capital instrument which possesses certain characteristics of equity as well as of debt.

5.1.13 "IDF-NBFC" means a non-deposit taking NBFC which is permitted to

(i) refinance post commencement operations date (COD) infrastructure projects that have completed at least one year of satisfactory commercial operations; and

(ii) finance toll operate transfer (TOT) projects as the direct lender.

5.1.14 "Infrastructure lending" means a credit facility extended by an NBFC to a borrower, by way of term loan, project loan subscription to bonds/debentures/preference shares/equity shares in a project company acquired as a part of the project finance package such that subscription amount to be "in the nature of advance" or any other form of long term funded facility for exposure in the infrastructure sub-sectors as notified by the Department of Economic Affairs, Ministry of Finance, Government of India, from time to time.

5.1.15 "Large Exposure" means the sum of all exposure values of a NBFC-UL measured in terms of [paragraph 110.6](#) of these Directions, to a counterparty and/or a group of

connected counterparties, if it is equal to or above 10 percent of the NBFC-UL's eligible capital base.

5.1.16 "Long Term Investment" means an investment other than a current investment.

5.1.17 "Major shareholder" means a person holding 10% or more of the paid-up share capital or five crore rupees in paid-up shares, whichever is lower.

5.1.18 "NBFC-Factor" means an NBFC as defined in clause (f) of section 45-I of the RBI Act, 1934, which has its principal business as mentioned in [paragraph 123](#) of these Directions and has been granted a certificate of registration under section 3 of the Factoring Regulation Act, 2011.

5.1.19 "NBFC-ICC" means any company which is a financial institution carrying on as its principal business - asset finance, the providing of finance whether by making loans or advances or otherwise for any activity other than its own and the acquisition of securities; and is not any other category of NBFCs as defined by the Reserve Bank in any of its Master Directions.

5.1.20 "NBFC-IFC" means a non-deposit taking NBFC which has a minimum of 75 percent of its total assets deployed towards infrastructure lending.

5.1.21 "NBFC-MFI" means a non-deposit taking NBFC which has a minimum of 75 percent of its total assets deployed towards "microfinance loans" as defined under [Reserve Bank of India \(Regulatory Framework for Microfinance Loans\) Directions, 2022](#).

5.1.22 "Net Asset Value" means the latest declared net asset value by the mutual fund concerned in respect of that particular scheme.

5.1.23 "Net Book Value" means:

(i) In the case of hire purchase asset, the aggregate of overdue and future instalments receivable as reduced by the balance of unmatured finance charges and further reduced by the provisions made as per [paragraph 15.2](#) of these directions.

(ii) In the case of leased asset, aggregate of capital portion of overdue lease rentals accounted as receivable and depreciated book value of the lease asset as adjusted by the balance of lease adjustment account.

5.1.24 "NOFHC" means a non-deposit taking NBFC referred to in the "[Guidelines for Licensing of New Banks in the Private Sector](#)" dated February 22, 2013, issued by the Reserve Bank, which holds the shares of a banking company and the shares of all other

financial services companies in its group, whether regulated by the Reserve Bank or by any other financial regulator, to the extent permissible under the applicable regulatory prescriptions.

5.1.25 "Owned Fund" means aggregate of

- (i) paid up equity capital,
 - (ii) preference shares which are compulsorily convertible into equity,
 - (iii) free reserves,
 - (iv) balance in share premium account and
 - (v) capital reserves representing surplus arising out of sale proceeds of asset, excluding reserves created by revaluation of asset;
- as reduced by
- (vi) accumulated loss balance,
 - (vii) book value of intangible assets and
 - (viii) deferred revenue expenditure, if any.

5.1.26 "Public Deposit" for the purpose of these Directions shall have the same meaning as defined in the [Non-Banking Financial Companies Acceptance of Public Deposits \(Reserve Bank\) Directions, 2016](#).

5.1.27 "Public Funds" includes funds raised either directly or indirectly through public deposits, inter-corporate deposits, bank finance and all funds received from outside sources such as funds raised by issue of Commercial Papers, debentures etc. but excludes funds raised by issue of instruments compulsorily convertible into equity shares within a period not exceeding five years from the date of issue.

5.1.28 "RBI Act, 1934" means the Reserve Bank of India Act, 1934 (Act 2 of 1934).

5.1.29 "Relative" shall have the meaning assigned to it under clause 77 of section 2 of the Companies Act, 2013.

5.1.30 "Reserve Bank" means the Reserve Bank of India constituted under section 3 of the RBI Act, 1934.

5.1.31 The term "Senior Officer" shall have the same meaning as assigned to "Senior Management" under section 178 of the Companies Act, 2013.

5.1.32 "Subordinated Debt" means an instrument, which is fully paid up, is unsecured and is subordinated to the claims of other creditors and is free from restrictive clauses

and is not redeemable at the instance of the holder or without the consent of the supervisory authority of the non-banking financial company. The book value of such instrument shall be subjected to discounting as provided hereunder:

Remaining Maturity of the instruments	Rate of discount
Up to one year	100%
More than one year but up to two years	80%
More than two years but up to three years	60%
More than three years but up to four years	40%
More than four years but up to five years	20%

to the extent such discounted value does not exceed fifty percent of Tier 1 capital.

5.1.33 “Substantial interest” means holding of a beneficial interest by an individual or his spouse or minor child, whether singly or taken together in the shares of a company, the amount paid up on which exceeds ten percent of the paid-up capital of the company; or the capital subscribed by all the partners of a partnership firm.

5.1.34 “Tier 1 capital” for NBFCs (except NBFCs-BL) is the sum of

- (i) Owned fund as reduced by investment in shares of other NBFCs and in shares, debentures, bonds, outstanding loans and advances including hire purchase and lease finance made to and deposits with subsidiaries and companies in the same group exceeding, in aggregate, ten percent of the owned fund; and
- (ii) Perpetual debt instruments issued by a non-deposit taking NBFCs in each year to the extent it does not exceed 15 percent of the aggregate Tier 1 capital of such company as on March 31 of the previous accounting year.

Note – NBFCs-BL are not eligible to include perpetual debt instruments in their Tier 1 capital.

5.1.35 “Tier 2 capital” for NBFCs (except NBFCs-BL) is the sum of

- (i) Preference shares other than those which are compulsorily convertible into equity;
- (ii) Revaluation reserves at discounted rate of 55 percent;
- (iii) General provisions (including that for Standard Assets) and loss reserves to the extent these are not attributable to actual diminution in value or identifiable potential loss in any specific asset and are available to meet unexpected losses, to the extent of one and one fourth percent of risk weighted assets;

- (iv) Hybrid debt capital instruments;
 - (v) Subordinated debt; and
 - (vi) Perpetual debt instruments issued by a non-deposit taking NBFC which is in excess of what qualifies for Tier 1 capital;
- to the extent the aggregate does not exceed Tier 1 capital.

Note – NBFCs-BL are not eligible to include perpetual debt instruments in their Tier 2 capital.

5.2 Words or expressions used in these Directions but not defined herein and defined in the RBI Act, 1934 shall have the same meaning as assigned to them in the RBI Act, 1934. Any other words or expressions not defined in the RBI Act, 1934 shall have the same meaning as assigned to them in the Factoring Regulation Act, 2011. Any other words or expressions used and not defined in these directions or in the RBI Act, 1934 or Factoring Regulation Act, 2011 or any of the Directions issued by the Reserve Bank, shall have the meanings respectively assigned to them under the Companies Act, 1956 or the Companies Act, 2013 (Act 18 of 2013) as the case may be.